WEEK 8 · LECTURE L3 · UNIT III

# KPI Frameworks and Data Culture

Cascading KPIs, and building data literacy and a data culture in an HR function.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

# What this lecture prepares you for

- Cascade a strategic HR KPI into measures that people at each level can act on.
- Explain why HR struggles with analytics, using Angrave et al.
- Apply strategy maps, Schein's levels of culture, the theory of planned behavior and analytical competition to building a data culture.

**COURSE OUTCOMES**

CLO 4 (KPI frameworks) and CLO 3.

CASCADING

# A CHRO KPI must break down into actions

| Level | Measure | Action it supports |
|---|---|---|
| CHRO | Organization-wide attrition (lagging) | Set priorities and budget |
| Regional HR partner | Share of staff under weakly rated managers (leading) | Choose which managers to coach |
| Line manager | My team's manager effectiveness score | Change how I run my team |

**EXAM LENS**

An organization-wide attrition figure helps nobody at a single site. Pair each lagging outcome with a leading driver someone can act on.

ANGRAVE ET AL. (2016)

# Why HR struggles with analytics

**Strategic understanding**

Know how people create value in this particular business.

**Theory-driven analytics**

Ground analysis in an understanding of how the data were generated, not in tool features.

**Pivotal segments**

Focus on the workforce groups that matter most to performance.

**Beyond correlation**

Use experiments and quasi-experiments to test cause.

The trap: if HR stays out of analytics, finance will model people only as a cost.

A COURSE FRAMING

# What a real human review specifies

**Who reviews**
A named role with authority to overturn the algorithm.

**How often**
A set cadence, not only when someone complains.

**By what criteria**
Written standards for when to override.

**Escalation**
Where a disputed case goes next, and how fast.

This four-part specification is the course's own framing. A review without all four is a rubber stamp.

THEORY IN DEPTH · KAPLAN AND NORTON (2004)

# Strategy maps link measures to causes

### THE CORE IDEA

A strategy map draws cause-and-effect links from learning and growth to processes, customers and finance.

### HOW IT WORKS

Each KPI sits on a causal chain: better managers lead to lower attrition, then better service and sales.

### LIMITS AND CRITIQUE

The arrows are hypotheses that organizations rarely test.

### IN PRACTICE

Draw the chain from manager effectiveness to sales, then test each arrow with data before relying on it.

### EXAM LENS

Critique strategy maps by pointing out that the causal links are assumed, not demonstrated.

THEORY IN DEPTH · SCHEIN (1985)

# Culture has three levels

### THE CORE IDEA

Artifacts (what you see), espoused values (what people say), basic underlying assumptions (what is taken for granted).

### HOW IT WORKS

Change at the artifact level, such as a new dashboard, fails if assumptions stay the same.

### LIMITS AND CRITIQUE

Assumptions are hard to observe, so diagnosis relies on interpretation.

### IN PRACTICE

If line managers assume "HR data is for HR", no dashboard will change their decisions.

### EXAM LENS

Use Schein to explain why data culture cannot be installed with tools.

THEORY IN DEPTH · AJZEN (1991)

# Intention to use analytics has three roots

### THE CORE IDEA

The theory of planned behavior: attitude, subjective norms and perceived behavioral control predict intention.

### HOW IT WORKS

People use analytics when they value it, when leaders expect it, and when they feel able to.

### LIMITS AND CRITIQUE

Intentions do not always become behavior.

### IN PRACTICE

Leaders asking for data at every review builds the norm; training builds perceived control.

### EXAM LENS

Map each data-culture intervention to one of Ajzen's three roots.

THEORY IN DEPTH · DAVENPORT AND HARRIS (2007)

# Analytical competitors build analysis into how they decide

### THE CORE IDEA

Firms that compete on analytics have senior sponsorship, enterprise-wide data and analysis embedded in core decisions.

### HOW IT WORKS

They move from localized analytics to enterprise analytics over several stages.

### LIMITS AND CRITIQUE

Written about large, data-rich firms; several featured firms later struggled.

### IN PRACTICE

For most HR functions, the first step is a named owner for people analytics with the CHRO's sponsorship.

### EXAM LENS

Use the stages to sequence a data-culture plan realistically.

PRACTICE FOR THE END-TERM EXAMINATION

# Questions to rehearse

"You cannot install a data culture; you have to grow one." Discuss using Schein, Ajzen and Davenport and Harris. **20 marks**

**A strong answer:** distinguishes artifacts from assumptions; maps interventions to TPB roots; sequences realistically.

Design a cascading KPI framework for reducing frontline attrition, and evaluate the causal assumptions it rests on. **20 marks**

**A strong answer:** cascades across levels with leading and lagging measures and owners; critiques strategy-map arrows; proposes tests.

Why, according to Angrave et al. (2016), is HR set to fail the big data challenge? **10 marks**

**A strong answer:** states their argument and proposed remedies.

CARRY THESE INTO THE EXAMINATION

# Three things to remember

1. **Cascade every KPI to a measure someone can act on**
2. **Culture changes at the level of assumptions, not dashboards**
3. **A real human review names who, how often, by what criteria, and the escalation**

SET READINGS · FROM THE LESSON PLAN

# Read for this lecture

- Angrave, D., et al. (2016). HR and analytics: Why HR is set to fail the big data challenge. *HRMJ, 26*(1), 1–11.

**COMPANION**

Each set reading is explained in the matching Unit Reader on rksingh.tech/materials.

THEORY SOURCES · FOR REFERENCE

# Sources for this lecture

Works named on the slides of this lecture. They are background sources, not set readings.


Ajzen, I. (1991). The theory of planned behavior. *Organizational Behavior and Human Decision Processes, 50*(2), 179–211. https://doi.org/10.1016/0749-5978(91)90020-t

Angrave, D., Charlwood, A., Kirkpatrick, I., Lawrence, M., & Stuart, M. (2016). HR and analytics: Why HR is set to fail the big data challenge. *Human Resource Management Journal, 26*(1), 1–11. https://doi.org/10.1111/1748-8583.12090

Davenport, T. H., & Harris, J. G. (2007). *Competing on analytics: The new science of winning*. Harvard Business School Press.

Kaplan, R. S., & Norton, D. P. (2004). *Strategy maps: Converting intangible assets into tangible outcomes*. Harvard Business School Press.

Schein, E. H. (1985). *Organizational culture and leadership*. Jossey-Bass.